

Deliberation SAN-2024-003 of January 31, 2024

National Commission for Information Technology and Freedoms

Nature of the deliberation: Sanction

Legal status: In effect

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Deliberation of the restricted formation No. SAN-2024-003 of January 31, 2024, concerning the company FORIOU

The National Commission for Information Technology and Freedoms, convened in its restricted formation composed of Mr. Alexandre LINDEN, president, Mr. Philippe-Pierre CABOURDIN, vice-president, Ms. Isabelle LATOURNARIE-WILLEMS, and Messrs. Alain DRU and Bertrand du MARAIS, members;

Considering Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data;

Considering Law No. 78-17 of January 6, 1978, relating to information technology, files, and freedoms, particularly its Articles 20 and following;

Considering Decree No. 2019-536 of May 29, 2019, taken for the application of Law No. 78-17 of January 6, 1978, relating to information technology, files, and freedoms;

Considering Deliberation No. 2013-175 of July 4, 2013, adopting the internal regulations of the National Commission for Information Technology and Freedoms;

Considering Decision No. 2021-191C of June 29, 2021, of the president of the National Commission for Information Technology and Freedoms, charging the Secretary General to carry out or have carried out a verification mission of the processing operations implemented by the company SFK GROUP, by its subsidiaries or on its behalf, in any location likely to be concerned by their implementation;

Considering the decision of the president of the National Commission for Information Technology and Freedoms designating a rapporteur before the restricted formation, dated April 4, 2022;

Considering the report of Ms. Valérie PEUGEOT, rapporteur commissioner, notified to the company FORIOU on August 23, 2023;

Considering the written observations submitted by the company FORIOU on September 29, 2023;

Considering the rapporteur's response to these observations, notified to the company on October 20, 2023;

Considering the closure of the investigation, notified to the company on November 22, 2023;

Considering the oral observations made during the session of the restricted formation on December 7, 2023;

Considering the preliminary deliberation of the restricted formation No. SAN-2023-020 of December 14, 2023;

Considering the written observations submitted by the rapporteur on December 21, 2023;

Considering the written observations submitted by the company on December 28, 2023;

Considering the oral observations made during the session of the restricted formation on January 18, 2024;

Considering the note in deliberation submitted by the company on January 29, 2024;

Considering the other documents in the file;

Present at the session of the restricted formation:

- Ms. Valérie PEUGEOT, commissioner, heard in her report;

As representatives of the company FORIOU:

- [...]

The company FORIOU having spoken last;

The restricted formation adopted the following decision:

I. Facts and Procedure

1. The company FORIOU (hereinafter "the company"), whose registered office is located at 23/25

Avenue Kléber in Paris (16th), is a subsidiary of the company SFK GROUP. Its activity involves the marketing and management of loyalty programs and cards. It does not employ any staff but relies on the services of personnel from other companies in the group for the conduct of its activities. The company indicated that it had [...] clients as of October 5, 2021. Its revenue for the year 2021 amounted to [...] euros, with a net loss of [...] euros.

2. In order to promote its programs, the company conducted, until 2021, telemarketing campaigns using prospect files purchased from two main partners, the companies [...] and [...].

3. On September 23, 2021, a delegation from the National Commission for Information Technology and Freedoms (hereinafter "the Commission" or "the CNIL") conducted an inspection at the company's premises to verify compliance with the provisions...

of Law No. 78-17 of January 6, 1978, as amended, relating to data processing, files, and freedoms (hereinafter referred to as "the Data Protection Act" or "Law of January 6, 1978, as amended") and Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, concerning the protection of personal data and the free movement of such data (hereinafter referred to as "the Regulation" or "GDPR").

4. The report No. 2021-191/1, drawn up on the day of the inspection, was notified to the company on September 30, 2021.

5. The company provided additional documents on October 5 and November 22, 2021.

6. For the purpose of examining these elements, the President of the Commission designated Ms. Valérie PEUGEOT as the rapporteur on April 4, 2022, based on Article 22 of the Law of January 6, 1978, as amended.

7. On June 8, 2023, the rapporteur sent a supplementary request to which the company responded on June 23, 2023.

8. On August 23, 2023, following her investigation, the rapporteur notified the company of a report detailing the breaches of Articles 6 and 32 of the GDPR that she deemed constituted in this case. This report proposed that the restricted formation impose an administrative fine on the company. It also proposed that this decision be made public.

9. On September 29, 2023, the company submitted observations in response to the sanction report.

10. The rapporteur responded to the company's observations on October 20, 2023.

11. On November 22, 2023, the rapporteur, in accordance with III of Article 40 of Decree No. 2019-536 of May 29, 2019, taken for the application of the Data Protection Act, informed the company and the President of the restricted formation that the investigation was closed.

12. On the same day, the company was informed that the file was scheduled for the agenda of the restricted formation on December 7, 2023.

13. The restricted formation held a session on December 7, 2023.

14. By deliberation before ruling No. SAN-2023-020 of December 14, 2023, sent by email to the company on the same day and notified by postal mail on December 20, 2023, the restricted formation requested the company FORIOU and the rapporteur to produce a supplementary document, mentioned by the company during the session of December 7, 2023.

15. On December 21, 2023, the rapporteur communicated to the restricted formation a document titled "leads_701_23-09-2021 [...]".

16. On December 28, 2023, the company communicated to the restricted formation a document also titled "leads_701_23-09-2021 [...]".

17. In accordance with Article 41 of Decree No. 2019-536 of May 29, 2019, a notice for the session of the restricted formation on January 18, 2024, was notified to the company FORIOU on December 20, 2023.

18. The rapporteur and the company presented oral observations during the session of the restricted formation.

II. Reasons for the Decision

A. On the breach of the obligation to process data lawfully

19. According to Article 6 of the GDPR, "1. Processing shall be lawful only if and to the extent that at least one of the following applies: a) the data subject has given consent to the processing of his or her personal data for one or more specific purposes; b) processing is necessary for the performance of a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract; c) processing is necessary for compliance with a legal obligation to which the controller is subject; d) processing is necessary in order to protect the vital interests of the data subject or of another natural person; e) processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the controller; f) processing is necessary for the purposes of the legitimate interests pursued by the controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject."

that the interests or the freedoms and fundamental rights of the data subject prevail, which require protection of personal data, particularly when the data subject is a child.

20. The restricted panel recalls that commercial prospecting actions by telephone can be carried out on the legal basis of the legitimate interest of the company (f) or on that of consent (a).

21. In this case, the company indicated that it conducts commercial prospecting operations by telephone using prospect files purchased from several data providers, who collect said data through participation forms for online contests.

22. The restricted panel notes that the company was unable, both in its written observations and in its oral observations during the session, to specify the legal basis on which it relied to carry out such processing. Under these conditions, the two legal bases that may be applicable in this case will be examined successively.

1) On legitimate interest

23. The rapporteur argues that, to justify its commercial prospecting operations by telephone, the company cannot invoke the legal basis of legitimate interest referred to in point f) of Article 6, paragraph 1 of the GDPR. She points out that, regarding the participation forms for online contests through which the company collects the data of prospects that it sells to the company FORIOU, the latter is not systematically mentioned in the list of partners likely to solicit the data subjects, and thus the latter cannot legitimately expect to receive commercial offers from this company.

24. In defense, the company invokes the contractual commitments of the company [...], which stipulate that the company FORIOU must be mentioned among the recipients of the collected data. It argues that it cannot be held responsible for the shortcomings of its service provider and produces an example of a form implemented by the company [...] containing a URL link referring to a list of partners, among which is the company SFAM (a link to the privacy policy of the latter allowing access to the complete list of companies that are part of the same group as SFAM, including the company FORIOU). Finally, the company claims to implement regular checks regarding the compliance of the delivered files.

25. The restricted panel recalls that, while commercial prospecting by non-electronic means can be carried out on the basis of the legitimate interest of the company, it must ensure that the processing does not infringe the rights and interests of the individuals whose data are processed, taking into account their reasonable expectations.

26. In this regard, recital 47 of the GDPR states that: "[...] the existence of a legitimate interest should be the subject of careful assessment, in particular to determine whether a data subject can reasonably expect, at the time and in the context of the collection of personal data, that such data will be

processed for a given purpose. The interests and fundamental rights of the person could, in particular, prevail over the interest of the data controller when personal data are processed in circumstances where the data subjects do not reasonably expect further processing [...]."

27. The restricted panel first notes that it follows from these provisions that, in its capacity as data controller, the company FORIOU is required to verify itself that the conditions allowing it to carry out commercial prospecting operations are met. In this regard, the responsibility of an organization has been retained by considering that a mere contractual commitment of...

the data broker to comply with the GDPR and the applicable rules regarding commercial prospecting was not a sufficient measure (CNIL, FR, November 24, 2022, Sanction, No. D-SAN-2022-021, published).

28. Thus, concerning the contractual commitments of the company [...] invoked by the company FORIOU, the restricted formation considers that the contractual obligations that can be imposed on suppliers cannot exempt the company FORIOU from its responsibility as a data controller, despite the possible existence of liability on the part of the suppliers.

29. Furthermore, regarding the verifications that the company claims to carry out on the forms from which the data is collected, the restricted formation notes that it does not produce any evidence to attest to this, as the contractual commitments of its suppliers do not constitute a control measure as such.

30. In this case, the restricted formation notes that certain contest entry forms from which the company [...] collects prospect data that it transmits to the company FORIOU do not allow the data subjects to reasonably expect to receive commercial prospecting offers from this company.

31. Thus, concerning the form accessible from the website [...], the restricted formation observes that it contains a hyperlink referring to a nominative list of partners and not to categories of partners. Therefore, the data subjects can legitimately expect this list of partners to be exhaustive. However, the said list does not mention the company FORIOU.

32. Regarding the forms present on the websites [...] (this form referring to the site [...]) and [...], the restricted formation notes that they do not mention the list of partners or categories of partners to whom the data may be transmitted, and that they also do not contain any link allowing access to such a list.

33. The restricted formation considers that under these conditions, the protection of the interests, freedoms, and fundamental rights of the data subjects takes precedence over the legitimate interests of the company, and that the latter cannot therefore rely on the legal basis mentioned in Article 6, paragraph 1, f) to justify its telephone commercial prospecting operations.

2) On Consent

34. The rapporteur considers that, to justify its telephone commercial prospecting operations, the company cannot rely on the legal basis of consent referred to in point a) of Article 6, paragraph 1, of the GDPR. She notes that the findings made by the delegation established that the data brokers from whom the company FORIOU sources its data collect said data through online contest participation forms, the design of which does not allow users to express their consent through a clear and unambiguous positive act, and strongly encourages them to accept the transmission of their data to the company's partners for prospecting purposes.

35. In defense, the company invokes the terms of the contract entered into with the company [...]. It acknowledges the documented findings but indicates that, if the shortcomings exist, they are neither representative of a willful disregard of its obligations nor of widespread practices. In this regard, it provides two examples of collection forms implemented by its suppliers, which it considers compliant. Finally, it reports controls carried out on the files following their provision by the service provider and emphasizes the impossibility, given the volume of these files, of implementing individual control.

36. The restricted formation recalls that according to Article 4, paragraph 11, of the GDPR, "consent"

of the data subject means "any manifestation of will, free, specific, informed, and unequivocal by which the data subject accepts, through a declaration or a clear positive act, that personal data concerning them be subject to processing." 37. Regarding commercial prospecting operations, it emphasizes that when the data of prospects have not been collected directly from them by the organization conducting the prospecting, consent may have been obtained at the time of the initial data collection by the first collector, on behalf of the organization that will carry out subsequent prospecting operations. Failing this, it is the responsibility of the organization conducting the prospecting to obtain such consent before proceeding with prospecting actions (CNIL, FR, November 24, 2022, Sanction, No. SAN-2022-021, published) 38. Firstly, concerning the contractual commitments of the company [...] invoked by the company FORIOU, the restricted panel refers to the elements developed in points 27 and 28. It further recalls that, while the intentional nature of the violation must be taken into account to decide whether to impose a fine and to determine its amount, it has no impact on the characterization of the breach, which may result from negligence. The same applies to whether the breach is generalized or not. 39. Secondly, the restricted panel recalls that the consent mentioned in the provisions of Article 6, paragraph 1, a) of the GDPR, which allows for the processing of personal data, can only result from the express consent of the user, given knowingly after adequate information about the use that will be made of their personal data. It is therefore necessary to ensure that the data subjects have given unequivocal, specific, free, and informed consent when their personal data is collected through participation forms for contests. 40.

The restricted panel notes in this regard that the work conducted on the practices implemented regarding cookies concerning consent collection banners can usefully serve to more generally assess the conditions for obtaining free, unequivocal, specific, and informed consent, and serve as a reference in commercial prospecting when it is based on the collection of consent. 41. Furthermore, regarding the same conditions of consent, the Court of Justice of the European Union (hereinafter "CJEU") specified, in its decision Planet49 GmbH: "Article 7, under a) of Directive 95 provides that the consent of the data subject can make such processing lawful as long as this consent is 'undoubtedly' given by the data subject. However, only an active behavior on the part of this person to express their consent is capable of fulfilling this requirement" (CJEU, Grand Chamber, October 1, 2019, Planet49 GmbH, C-673/17, ECLI:EU:C:2019:801, §54). Therefore, it should be considered that in the absence of being given undoubtedly, consent must be regarded as lacking, which renders the processing illegal for lack of a legal basis. More specifically regarding the modalities of collection, the CJEU states that "the manifestation of will referred to in Article 2, under h), of Directive 95/46 must, in particular, be 'specific', in the sense that it must precisely relate to the processing of the relevant data and cannot be inferred from a manifestation of will having a distinct object. In this case, contrary to what Planet49 has argued, the fact that a user activates the participation button for the promotional game organized by this company cannot, therefore, be sufficient to consider that the user has validly given their consent to the placement of cookies" (Idem, §§ 58-59). 42. Furthermore, the Council of State has held that "free, specific, informed, and unequivocal consent can only be a express consent of the user, given with full knowledge and after adequate information about the use that will be made of their personal data." (CE, 10th and 9th chambers combined, June 19, 2020, Google LLC, no. 430810, para. 21). 43. The restricted formation also notes, as an example, that the guidelines 5/2020 on consent, adopted on May 4, 2020, by the "Article 29" working group (now the European Data Protection Board, hereinafter "EDPB"), specify that the "free" nature of consent "implies a real choice and control for the data subjects. Generally speaking, the GDPR states that if the data subject is not truly able to exercise a choice, feels compelled to consent, or will suffer significant negative consequences if they do not give their consent, the consent is not valid [...] In general terms, any pressure or inappropriate influence exerted on the data subject (which can manifest in various ways) preventing them from exercising their will will render the consent invalid." 44. By way of illustration and comparison, in its deliberation no. 2020-092 of September 17, 2020, adopting a recommendation proposing practical modalities for compliance in cases of the use of "cookies and other trackers," the Commission recommends that the concerned entities ensure "that users fully understand the options available to them, particularly through the chosen design and the information

provided (§ 10) [...] In order not to mislead users, the Commission recommends that data controllers ensure that the interfaces for collecting choices do not incorporate potentially misleading design practices that suggest to users that their consent is mandatory or that visually emphasize one choice over another. It is recommended to use buttons and a font of the same size, offering the same ease of reading, and highlighted in the same way" (§ 34). It adds that it is important "to ensure that the information accompanying each actionable item allowing for the expression of consent or refusal is easily understandable and does not require effort in concentration or interpretation on the part of the user. Thus, it is particularly recommended to ensure that it is not drafted in such a way that a quick or inattentive reading could lead to the belief that the selected option produces the opposite of what users thought they were choosing." (§ 23). Otherwise, the unambiguous nature of consent would not be characterized.

45. The restricted formation also recalls that studies conducted on the practices of digital interfaces, particularly regarding cookies, highlight the considerable impact of the appearance of consent collection banners on users' choices, which may lead them to make choices that do not reflect their preferences regarding data sharing.

46. In this case, it appears from the documents in the file that the companies [...] and [...], providers of prospect data to the company FORIOU, collect the data of the data subjects (name, first name, title, email address, mobile phone number, date of birth, and postal address) through participation forms for online contests, in order to allow their partners to use them for their commercial prospecting.

47. Regarding the findings made by the delegation during the inspection, the restricted formation notes that the forms accessible from the websites [...], [...], [...] and [...] present themselves similarly. Under the fields allowing data subjects to enter their contact details (which are requested by the forms "fill in your contact details below in case of "or" fill in your details below to apply ") is located a button "VALIDATE", "I VALIDATE" or "I ANSWER THE QUESTIONS TO APPLY". Above or below this button, a text specifies that by clicking on it, the user declares having read the company's data protection policy and agrees that the collected data may be used to send them offers from the company's partners. Hyperlinks allow access to the data protection policy and the list of relevant partners. The end of the text specifies that if the user wishes to continue without receiving offers from the company's partners, they can click on a link present in the text ("click here").

48. Thus, the user confronted with this form can either click on a button that both validates their participation in the game and accepts that their data be used to send them offers from the company's partners, or click on the link "click here" allowing them to continue without receiving these offers.

49. The restricted panel considers that as designed, the proposed forms do not allow the concerned individuals to validly express a choice reflecting their preferences regarding the transmission of data for commercial prospecting purposes. The overall preview of the interfaces particularly highlights the button "VALIDATE", "I VALIDATE" or "I ANSWER THE QUESTIONS TO APPLY" which, by its size and color, stands out from the other information provided. Similarly, its title evokes more the conclusion of the user journey rather than a transmission of data to partners. Finally, its placement gives the impression that it must be clicked to complete the registration and participate in the contest. Conversely, the hyperlink allowing participation in the game without accepting the transmission of their data to partners is presented in the body of the text, in characters of a size significantly smaller than that used for the buttons and without particular emphasis, so that it does not appear intuitive that it is possible to participate without clicking on one of the aforementioned buttons and therefore without transmitting their data to third parties for prospecting purposes. The consent obtained is therefore devoid of a clear and free character.

50. The restricted panel also notes that, in the context of its written observations, the company produced two other forms, presented as compliant. However, the restricted panel notes that their design does not allow the concerned individuals to express their consent through a clear and unambiguous positive act.

51. On the one hand, the restricted panel observes that the presentation of these forms, like those consulted by the delegation during the on-site inspection, particularly highlights the button "VALIDATE MY DETAILS" and "CONTINUE", to validate participation in the game and transmit their data to the partners. In contrast, the hyperlink "click here" allowing participation in the game without accepting this transmission is presented in the body of the text, in characters of a size significantly smaller than that of the button and without particular emphasis. Furthermore, the overall visual of the form accessible from the site [...], which contains three green boxes ("I VALIDATE MY PARTICIPATION", "I CONFIRM

MY DETAILS FOR DELIVERY IN CASE OF WIN", and "VALIDATE MY DETAILS") leads one to think that there is a logical sequencing between these three actions and that the button "VALIDATE MY DETAILS" is the last button to activate to participate in the game and obtain their prize. However, this button is not mandatory since the user can use the aforementioned link "click here", which is not intuitive given the overall appearance of the form. 52. Moreover, regarding the form implemented by the company...

[...] from the site [...], the restricted formation notes the existence of two checkboxes, one concerning the reading and acceptance of the game rules, the other the reading of the privacy policy and the acceptance of the transmission of one's data. The similar appearance of these boxes, presented as mandatory legal mentions to be read, and whose accompanying text begins with "I have read," encourages the user to check them indistinctly, and then to click on "CONTINUE" while transmitting their data. The possibility of participating in the draw without receiving promotional offers exists by clicking on the link "here," but is written in a smaller font and without emphasis compared to the "CONTINUE" button, which, on one hand, is particularly visible due to its size, color, and font, and on the other hand, seems to conclude the user journey due to its placement at the bottom of the form. Thus, the optional nature of the "CONTINUE" button is not clearly deduced from the overall visual of the form.

53. Furthermore, the restricted formation notes that an online check conducted on October 17, 2023, revealed that, given its configuration, the form referred to in the previous paragraph materially did not allow the user to participate in the game without accepting the transmission of their data to the company's partners, and thus without being a recipient of commercial prospecting, contrary to what is indicated on the form.

54. The restricted formation thus considers that the aforementioned forms do not sufficiently inform the concerned individuals that they consent to the transmission of their data for commercial prospecting purposes, in a context where the very purpose of these websites is to offer a prospect of winnings that cannot imply the objective of long-term data collection for such purposes. These individuals are not enabled to express their consent through a clear and unambiguous positive act.

55. Thirdly and finally, regarding the verifications that the company claims to carry out on the delivered files, the restricted formation observes that the company produces no evidence to substantiate this.

56. On one hand, in its written observations of September 29, 2023, and then in its oral observations during the session of December 7, 2023, the company mentioned a document titled "leads_701_23-09-2021 [...]," collected during the on-site inspection and stating, according to it, "checks of the prospecting files carried out following their provision by the service provider." By deliberation No. SAN-2023-020 of December 14, 2023, the restricted formation requested the reporter and the company to produce this document.

57. The restricted formation notes that the file produced by the reporter, whose digital footprint confirms that it is indeed the file from which the observations were made by the delegation during the inspection, contains no elements capable of attesting to the verifications claimed by the company. According to what is mentioned in the inspection report, it is a file of prospects ("leads") delivered by the company [...] to the INDEXIA group on September 23, 2021, containing the data of approximately 15,000 prospects. If, for each of these prospects, a URL link intended to allow access to the source of the data is present, the restricted formation notes that no mention indicates verifications that may have been carried out by the company FORIOU or the INDEXIA group. During the session of January 18, 2024, the company indicated that it does not challenge the integrity of this document.

58. Regarding the file produced by the company, the restricted formation notes that it does not correspond to the one collected during the inspection, as its digital footprint and size differ. It further notes that this difference is confirmed by its...

the benefits derived from such measures, arguing that the costs may outweigh the advantages. 66. The restricted formation notes that the absence of an intermediate archiving mechanism raises concerns regarding the security of the data, as it does not ensure that access is limited to users who

need to know. This lack of control could potentially expose sensitive information to unauthorized individuals. 67. Furthermore, the restricted formation emphasizes that the retention of data for five years post-contract, without any restrictions on access, does not align with the principles of data minimization and purpose limitation as outlined in the GDPR. 68. In conclusion, the restricted formation finds that the company has failed to implement adequate security measures to protect personal data, constituting a breach of Article 32 of the GDPR.

financier that would be necessary and the limited gain that would result. 66. The restricted panel recalls that it follows from the provisions of Article 32 of the GDPR that the data controller must implement appropriate measures to ensure the confidentiality of the data and to prevent it from being processed unlawfully by persons who do not need to know it (CNIL, FR, October 29, 2021, Sanction, No. SAN-2021-019, published). 67. This need to know may evolve depending on the data lifecycle and the purposes for which it is retained. Thus, during the phase of their current use, which corresponds to the necessary duration to achieve the determined purpose, the data is kept in an "active base" and accessible to all services responsible for implementing the processing. At the end of this phase, when the data is no longer used to achieve the set objective but still holds administrative interest for the organization (for example, for the management of potential litigation) or must be retained to comply with a legal obligation, it should only be accessible on a case-by-case basis and justified by specifically authorized individuals participating in the objective that justified this retention, subject to intermediate archiving. This intermediate archiving requires a separation from the active base, which can be physical (through a transfer of data to a dedicated archive base) or logical (through the implementation of technical and organizational measures ensuring that only those with a legitimate interest in processing the data due to their functions can access it). 68. The restricted panel notes that the company does not contest retaining its clients' data after the contractual relationship ends, without any intermediate archiving measures being implemented. The restricted panel recalls that the cessation of contractual relationships must lead to limiting access to the data to certain employees based on their functions. Nevertheless, the restricted panel considers that, in the current state, the elements in the file do not establish that individuals would have access to said data without needing to know it. 69. It follows from the above that the breach of Article 32 of the GDPR is not established. III. On the imposition of corrective measures and publicity 70. Under Article 20 of Law No. 78-17 of January 6, 1978, as amended: "When the data controller or its processor fails to comply with the obligations arising from Regulation (EU) 2016/679 of April 27, 2016, or from this law, the president of the National Commission for Information Technology and Civil Liberties may [...] refer the restricted panel of the commission for the imposition, after adversarial proceedings, of one or more of the following measures: [...] 7° Except in cases where the processing is carried out by the State, an administrative fine not exceeding 10 million euros or, in the case of a company, 2% of the total annual global turnover of the previous financial year, the higher amount being retained. In the cases mentioned in paragraphs 5 and 6 of Article 83 of Regulation (EU) 2016/679 of April 27, 2016, these ceilings are raised, respectively, to 20 million euros and 4% of said turnover. The restricted panel takes into account, in determining the amount of the fine, the criteria specified in the same Article 83." 71. Article 83 of the GDPR provides that: "Each supervisory authority ensures that the administrative fines imposed under this article for violations of this regulation referred to in paragraphs 4, 5, and 6 are, in each case, effective, proportionate, and dissuasive," before specifying the elements to be taken into account to decide whether to impose an administrative fine and to determine the amount of this fine.

fine. 72. Firstly, the restricted formation recalls that it must take into account, for the imposition of an administrative fine, the criteria specified in Article 83 of the GDPR, such as the nature, severity, and duration of the violation, whether the violation was intentional or not, the measures taken by the data controller to mitigate the damage suffered by the affected individuals, the degree of cooperation with the supervisory authority, and the categories of personal data concerned by the violation. 73. The restricted formation emphasizes that the breach committed by the company relates to obligations concerning the fundamental principles of personal data protection. 74. Indeed, the restricted formation recalls that the consequence of failing to have a legal basis for processing the data of prospects in the context of telephone marketing is to render the targeted operations unlawful. 75. It emphasizes that if the company intends to base these operations on the legal basis of consent, the ecosystem of data

resale from partner to partner requires particularly strong guarantees regarding the quality and validity of the consent obtained by the primary data collector, which partners rely on for commercial prospecting purposes. It underscores that, in this regard, the organization relying on such consent to conduct commercial prospecting operations bears essential responsibility, requiring it, as the data controller, to ensure that the conditions allowing it to carry out said operations are met, regardless of the potential liability of the data suppliers, the primary collectors. The restricted formation considers that these requirements should be particularly strengthened concerning the methods of obtaining consent from users of websites aimed at offering profit opportunities, as these individuals may not necessarily be aware of the scope of their agreement at the time of their registration. 76. The restricted formation also recalls the importance, in the absence of obtaining valid consent, of allowing affected individuals to assess the extent of the processing to which their data may be subject. Thus, the fact that at the time of data collection, a detailed list of partners likely to carry out commercial prospecting operations is made available to the affected individuals, without the company FORIOU being included, and without this list being supplemented by a mention specifying the categories of partners of which the company FORIOU could be a part, deprives the affected individuals of the minimal information necessary to safeguard their interests, freedoms, and fundamental rights. 77. The restricted formation insists that the company FORIOU, as a subsidiary of SFK GROUP, has sufficient human, financial, and technical resources to ensure compliance with the rules regarding the protection of personal data. 78. Finally, the restricted formation intends to take into account [...] 79. In light of all these elements, the restricted formation considers that there is a need to impose an administrative fine for the breach of Article 6 of the GDPR. 80. Secondly, regarding the amount of the administrative fine, the restricted formation recalls that the violation in question concerns a breach that may be subject, under Article 83 of the GDPR, to an administrative fine of up to 20 million euros or up to 4% of the annual global turnover of the previous financial year, with the higher amount being retained. 81. It considers that the activity of the company and its financial situation must be taken into account. In this regard, it notes that for the year 2021, the company achieved a turnover of [...] euros, for an operating result of [...] euros. The restricted formation notes that, although the company presents a net loss of [...] euros, this is solely due to a debt waiver of [...] euros to the INDEXIA group. Furthermore, since this exceptional result is not deductible, the company FORIOU was subject, for the year 2021, to an amount of [...] euros in corporate tax. Taking all these elements into account, the restricted formation considers that the financial situation of the company is sound.

82. Therefore, with regard to the company's liability, its financial capacities, and the relevant criteria of Article 83, paragraph 2, of the GDPR mentioned above, the restricted formation believes that a fine of three hundred ten thousand euros (€310,000) is justified.

83. Thirdly, concerning the publicity of the sanction, the restricted formation considers that it is warranted given the seriousness of the breach in question, the company's position in the market, the scope of the processing, and the number of individuals concerned.

84. It also notes that this measure is intended to inform the individuals affected by the company's prospecting operations. This information will allow them, if necessary, to assert their rights.

85. Finally, it considers that this measure is proportionate since the decision will no longer specifically identify the company after a period of two years from its publication.

FOR THESE REASONS The restricted formation of the CNIL, after deliberation, decides to: • impose an administrative fine on the company FORIOU in the amount of three hundred ten thousand euros (€310,000) for violation of Article 6 of the GDPR; • make its deliberation public on the CNIL website and on the Légifrance website, which will no longer allow for the specific identification of the company after a period of two years from its publication.

The President Alexandre LINDEN This decision may be subject to appeal before the Council of State within two months from its notification.